

1 Lab 3: Taxes, Government Intervention, and Welfare

Question 1.6: Plot the results from `beer_state_changes` using a scatter plot.

In []: ...

Question 1.7: In 2–3 sentences, interpret the sign and magnitude of your slope in the context of the paper *Salience and Taxation: Theory and Evidence*. Then briefly state whether your evidence is consistent with the idea that sales/excise taxes can be partially salient in practice, and why.

Type your answer here, replacing this text.

Question 1.8: Up until now, we've been examining the effect of changes in the ad valorem tax on beer consumption. But what about the excise tax? Unlike ad valorem taxes, an excise tax is included as part of the label price.

Intuitively, do you expect consumers be more elastic towards changes in the ad valorem tax or excise tax? Why?

Type your answer here, replacing this text.

Question 1.9.2: Interpret the results above from `np.polyfit`.

Hint: Be aware of the units of the excise tax!

Type your answer here, replacing this text.

